

Practice Question

SEJO LIMITED, P.O Box 40002, Kampala deals in General merchandise. The company has been in business for a period of 18 years while using a manual accounting system for generation of reports. As a result, management of reports has been a challenge due to many business activities. The increase in business activities has led to a need to have timely reports to enable management make quality financial decisions by having the accounts computerized. All the company's transactions are in Uganda shillings.

The company's financial year starts on 1st January every year and management has agreed to computerized accounts using QuickBooks accounting software with effect from 1st January 2024. The company operates three bank accounts and one petty cash account for internal operations (**also see note 1**). As a student well versed with the computerized accounting knowledge, you are to;

Create a company file and save it on the desktop in your name and registration number (10 marks)

Further, you have been provided with the accounting records that were kept manually for purposes of in putting it into the system through QuickBooks.

Below is an extraction of the company's trial balance for the period ended December 31, 2023

Particulars	Debit (UGX)	Credit (UGX)
Company's equity inform of land		108,000,000
Company's retained earnings		142,000,000
Computer at cost	70,000,000	
Computer – Accumulated Depreciation		7,000,000
Bank balances – Exim Bank (Note 1)	200,000,000	
Petty cash balance (Note 1)	120,000,000	
Centenary Bank (Note 1)	150,000,000	
Bank of India (Note 1)	12,000	
Inventory as of January 1, 2022 (Note 2)	63,200,000	
Accounts Receivable (Note 3)	90,000,000	
Accounts Payable (Note 4)		380,000,000
Tax penalty due		60,200,000
Goodwill	51,988,000	
Rent payable		13,000,000
Insurance owing		20,000,000
Interest due		15,000,000
Total	745,200,000	745,200,000

Note 1: The cash and Bank balances as per the Bank statement as at December 31, 2023

Bank name	Bank branch	Bank account number	Balances (UGX)
Exim Bank	Jinja road	100025000	200,000,000
Centenary Bank	Entebbe road	430056200	150,000,000
Bank of India	Jinja road	4200100012	12,000
Petty cash balance	-	-	120,000,000

Note 2: The inventory balances as at December 31, 2023

Items	Units	Quantity	Rate	Total amount	Preferred	Reorder
Sugar	Kg	3,000	2,500	7,500,000	Lugazi suppliers	50,000

Soap	Bar	8,000	4,500	36,000,000	Mukwano Dealers	20,000
Salt	Pkts	3,000	500	1,500,000	Lake Katwe salt miners	32,000
Rice	Kg	5,000	2,200	11,000,000	Wine co Ltd	55,000
Posho	Kg	4,000	1,800	7,200,000	Matrix	60,000
Total		23,000	11,500	63,200,000		217,000

Note 3: The Accounts Receivable balances as at December 31, 2023

Customer Name	Address	Currency	Balance
Capital Shoppers Ltd	P.O Box 23 Kampala	Ugx	30,000,000
Game	P.O Box 098 Kampala	Ugx	45,000,000
Half price	P.O Box 576 Kampala	Ugx	15,000,000
Total			90,000,000

Note 4: The Accounts Payable balance as at December 31, 2023

Supplier Ref No	Supplier Name	Currency	Balance
Sup 01	Lugazi suppliers	Ugx	200,000,000
Sup 02	Mukwano Dealers	Ugx	100,000,000
Sup 03	Lake Katwe salt miners	Ugx	80,000,000
Totals			380,000,000

In addition, the following transactions took place during the year 2022. These should be recorded in QuickBooks Accounting Software:

- On February 10, 2024 the Accounts Payable were paid as follows using funds from Exim Bank;
 - Lugazi suppliers 2% of the outstanding balance
 - Mukwano Dealers 3% of the amount due
 - Lake Katwe salt miners 5% of the balance
- On February 12, 2024, the company received payment from its debtors and deposited with Exim Bank:-
 - Capital shoppers Ltd Ugx 28,000,000
 - Game Ugx 35,000,000
 - Half price Ugx 10,000,000
- On February 18, 2024, the company transferred Ugx. 40,000,000 from the Exim Bank to Centenary Bank and made the following payments: -
 - Water to NWSC Wakiso branch Ugx 4,500,000
 - Insurance to UAP- limited Ugx 3,500,000
 - Stationery to X- suppliers Ugx 600,000
 - Payment of salaries Ugx 1,400,000
 - Transport to star Safari Uganda Ugx 800,000
 - Training to Alphad consult limited Ugx 1,300,000
- On May 20, 2024, the Company, made Electronic Fund Transfer of Ugx 2,000,000 from Exim Bank to petty cash for opening up another Bank Account with DFCU Bank a/c 002100873.
- On May 27, 2024, the company bought more Land at Kololo for the construction of the proposed offices at Ugx 30,000,000 by cheque through Centenary Bank

6. It is the company's policy to depreciate computers at 25% reducing balance method. This transaction should be recorded by December 20, 2024.
7. On December 30, 2024 the company received an invoice of Ugx 500,000 from Alphad consult limited being unpaid balance for the training and thus needs to be recorded
8. On December 31, 2024, it was discovered that the payment to NWSC Wakiso branch of Ugx 500,000 related to the year 2023 and should be adjusted by Dec 31, 2022
9. On December 31, 2024, an analysis of the accounts receivable, indicated that Ugx 1,000,000 which relates to Game would not be collected and therefore should be written off as bad debt.
10. On August 17, 2024, the store caught fire, 2,000 kg posho and 1,000 kg of rice were destroyed, and the inventory needs to be adjusted as per the International Accounting Standard (IAS) 2.

Reports section

d) Post and generate the following reports from your designed system in the form of a **PDF or Excel** to be reported in the next management meeting due to take place on the on December 31, 2024.

1. Adjusted Trial balance for the period ending December 31, 2024
 2. Statement of profit or loss & other comprehensive income Dec 31, 2024
 3. Statement of Financial Position as at December 31, 2024
 4. Detailed inventory valuation details as at December 31, 2024
 5. Cash flow statement for the period ended December 31, 2024
 6. Customer balance details for the period ending December 31, 2024
 7. Supplier balance details for the period ending December 31, 2024
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